MOVEMENT CHURCH >

financial statements

>YEAR ENDED JULY 31, 2025

MAC LLP
CHARTERED PROFESSIONAL ACCOUNTANTS

MOVEMENT CHURCH >

financial statements

>YEAR ENDED JULY 31, 2025

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INDEPENDENT AUDITOR'S REPORT

To the Members of Movement Church:

Qualified Opinion

We have audited the financial statements of Movement Church, the "Church", which comprise the statement of financial position as at July 31, 2025, and the statements of operations and changes in fund balances, and cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, except for the effects of the matter described in the Basis for Qualified Opinion section of our report, the accompanying financial statements present fairly, in all material respects, the financial position of the Church as at July 31, 2025, and the results of its operations and its cash flows for the year then ended in accordance with Canadian Accounting Standards for Not-for-Profit Organizations.

Basis for Qualified Opinion

In common with many not-for-profit organizations, the Church derives revenue from donations from interested persons, the completeness of which is not susceptible to satisfactory audit verification. Accordingly, our verification of these revenues was limited to the amounts recorded in the records of the Church. Therefore, we were unable to determine whether any adjustments might have been found necessary with respect to donation revenues, excess of revenues over expenses, and cash flows for the years ended July 31, 2025 and July 31, 2024 and current assets and net assets as at July 31, 2025 and July 31, 2024. Our conclusion on the financial statements as at and for the year ended July 31, 2025 was modified accordingly because of the possible effects of this limitation in scope.

We conducted our audit in accordance with Canadian generally accepted auditing standards. Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Church in accordance with the ethical requirements that are relevant to our audit of the financial statements in Canada, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with Canadian Accounting Standards for Not-for-Profit Organizations and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Church's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Church or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Church's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Canadian generally accepted auditing standards will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with Canadian generally accepted auditing standards, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Church's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Church's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Church to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

MAC LLP

Waterloo, Ontario
October 28, 2025

LICENSED PUBLIC ACCOUNTANTS
CHARTERED PROFESSIONAL ACCOUNTANT

MOVEMENT CHURCH >

statement of financial position

>JULY 31, 2025

	2025	2024
assets		
current		
Cash	$ 153,006	$ 65,181
Accounts receivable	5,697	14,626
Government remittances recoverable	19,507	29,925
Prepaid expenses	8,785	6,186
	186,995	115,918
non-current		
Capital assets (Note 3)	1,249,563	1,014,257
	$ 1,436,558	$ 1,130,175
liabilities		
current		
Accounts payable and accrued liabilities	$ 53,241	$ 37,195
Government remittances payable	17,224	15,185
Deferred revenue (Note 5)	4,440	129,064
Current portion of long term debt	24,999	24,009
	99,904	205,453
non-current		
Long term debt (Note 6)	541,753	566,735
Notes payable (Note 7)	300,000	-
Deferred capital contribution (Note 8)	289,921	114,609
	1,231,578	886,797
net assets		
General	90,728	165,126
Missions	114,252	78,252
	204,980	243,378
	$ 1,436,558	$ 1,130,175

Approved on behalf of the board:

Director

Director

MOVEMENT CHURCH >

statement of operations and changes in fund balances

>YEAR ENDED JULY 31, 2025

	general	missions	2025 total	2024 total
revenue				
Donations	$ 1,315,394	$ 87,220	$ 1,402,614	$ 1,384,710
Other	176,751	-	176,751	158,155
Registration	68,762	-	68,762	31,953
	1,560,907	87,220	1,648,127	1,574,818
expenses				
Administrative	49,180	-	49,180	76,310
Advertising	3,849	-	3,849	2,320
Amortization	75,479	-	75,479	50,814
Audio, video and media (Note 9)	52,683	-	52,683	85,008
Bank charges and interest	29,611	-	29,611	17,850
Cafe	10,979	-	10,979	7,645
Facilities	208,521	-	208,521	131,961
Interest on long term debt	23,490	-	23,490	24,368
Ministry	184,894	-	184,894	235,554
Missions	-	51,220	51,220	122,623
WOD/Outreach	122,530	-	122,530	119,951
Professional fees	20,147	-	20,147	11,027
Salaries and benefits	853,942	-	853,942	825,808
	1,635,305	51,220	1,686,525	1,711,239
deficiency of revenue over expenses for year	(74,398)	36,000	(38,398)	(136,421)
balance, beginning of year	165,126	78,252	243,378	379,799
balance, end of year	$ 90,728	$ 114,252	$ 204,980	$ 243,378

MOVEMENT CHURCH >

statement of cash flows

YEAR ENDED JULY 31, 2025

	2025	2024
operating activities		
Deficiency of revenue over expenses for year	$ (38,398)	$ (136,421)
Adjustments for:		
Amortization	75,479	50,814
Recognition of deferred revenue	(129,064)	(8,009)
Recognition of deferred capital contributions	(45,541)	(15,425)
Transfer of K2K liabilities	-	5,951
	(137,524)	(103,090)
Changes in non-cash working capital:		
Accounts receivable	8,929	(10,191)
Government remittances recoverable	10,418	10,524
Deferred revenue	4,440	137,073
Prepaid expenses	(2,599)	(6,186)
Deferred capital contributions	220,853	130,034
Accounts payable and accrued liabilities	16,046	3,274
Government remittances payable	2,039	(7,490)
	260,126	257,038
	122,602	153,948
financing activities		
Repayment of long term debt	(23,992)	(23,115)
Notes payable	300,000	-
	276,008	(23,115)
investing activities		
Purchase of capital assets	(310,785)	(141,524)
Increase in cash	87,825	(10,691)
Cash balance, beginning of year	65,181	75,872
cash balance, end of year	$ 153,006	$ 65,181

MOVEMENT CHURCH >

notes to financial statements

>JULY 31, 2025

1. purpose of organization

The mission of Movement Church, the "Church" is to administer the spiritual needs of the congregation. The Church operates in Woodstock, Ontario and it is incorporated under the Canada Corporations Act as a not-for-profit organization and is a registered charity for Canadian Income Tax purposes.

2. significant accounting policies

Basis of Accounting - These financial statements have been prepared in accordance with Canadian accounting standards for not-for-profit organizations.

Revenue Recognition - The Church follows the deferral method of accounting for contributions. Unrestricted contributions are recognized as revenue when received. Restricted contributions are recognized in the year in which the related expenses are incurred.

Restricted contributions for the purchase of land, building and equipment that will be amortized are deferred and recognized on the same basis as the amortization for the related land, building and equipment. Restricted contributions for the purchase of land, buildings and equipment that will not be amortized are recognized as direct increases in net assets.

Other income includes fundraising income, rental income, cafe income, merchandise sales and government subsidies.

Rental income, cafe income and merchandise revenues are recognized when the sales are rendered.

Government subsidies are recognized as earned.

Registrations income are recognized when the event occurs.

Fund Accounting - The Church maintains accounts in accordance with the principles of fund accounting. Fund balances of the Church are classified for accounting and reporting purposes into following funds to be used according to the directions of the donor or as determined by the Church.

The General Fund reflects contributions received towards the operation of the Church that have not been designated to a separate fund or project.

The Missions Fund reflects contributions specifically designated by donors to support mission activity plus an additional allocation from the general fund as determined by the Board.

Financial Instruments

Initial measurement - The Church initially measures its financial assets and liabilities originated or exchanged in arm's length transactions at fair value. Financial assets and liabilities originated or exchanged in related party transactions are initially measured at cost.

The cost of a financial instrument in a related party transaction depends on whether the instrument has repayment terms. If it does, the cost is determined using its undiscounted cash flows less any impairment losses previously recognized by the transferor. Otherwise, the cost is determined using the consideration transferred or received by the Church in the transaction.

Subsequent measurement - The Church subsequently measures all its financial assets and financial liabilities at amortized cost, except for investments in equity instruments that are quoted in an active market, which are measured at fair value. Changes in fair value are recognized in net income, in the period incurred.

Financial assets measured at amortized cost include cash and accounts receivable.

The Church has not designated any financial asset or liability to be measured at fair value.

Transaction costs - The Church recognizes its transaction costs attributable to financial instruments subsequently measured at fair value and to those originated or exchanged in a related party transaction in income in the period incurred. Transaction costs related to financial instruments originated or exchanged in an arm's length transaction that are subsequently measured at costs or amortized cost are recognized in the original cost of the instrument. When the instrument is measured at amortized cost, transaction costs are recognized in income over the life of the instrument using the straight line method.

Impairment - For financial assets measured at cost or amortized cost, the Church determines whether there are indications of possible impairment. When there are, and the Church determines that a significant adverse change has occurred during the period in the expected timing or amount of future cash flows, a write down is recognized in income. If the indicators of impairment have decreased or no longer exist, the previously recognized impairment loss may be reversed to the extent of the improvement. The carrying amount of the financial asset may be no greater than the amount that would have been reported at the date of the reversal had the impairment not been recognized previously. The amount of the reversal is recognized in net income.

Contributed Materials and Services - The Church is dependent upon many hours of service contributed by volunteers. Because of the difficulty in determining their fair value, contributed services are not recognized in these financial statements.

Deferred Capital Contributions - Contributions received for capital assets are deferred in the accounts and amortized over the same term and on the same basis as the related capital asset. The deferred capital contributions balance on the Statement of Financial Position represents the contributions received for capital assets less the amount amortized on the Statement of Operations.

Capital Assets and Amortization - Capital assets are recorded at cost. Amortization is provided in the accounts using the following methods and annual rates:

Asset	Method	Rate
Building	Reducing balance	4%
Computer	Straight line	3 years
Audio visual equipment	Reducing balance	8%

Cloud Computing Arrangements - At the inception of a cloud computing arrangement, the Church allocates the consideration to significant separable elements based on their specific sales price. Development costs and costs related to the right to use a tangible asset are recognized according to the applicable accounting policies for such elements.

To account for expenditures in a cloud computing arrangement that fall within the scope of AcG-20, Customer's Accounting for Cloud Computing Arrangements, the Church has opted for the simplification approach. Accordingly, such expenditures are treated as the supply of services and recognized as an expense when the services are received. These expenses are presented under the "Audio, video, and media" line on the statement of operations.

The Church recognizes prepayments as an asset when payments are made in advance for services not yet received. These prepayments are subsequently expensed as the services are consumed.

Costs related to implementation activities, including configuration and customization, are expensed as incurred unless they meet the criteria for capitalization under other applicable accounting standards.

3. capital assets

	cost	accumulated amortization	net 2025	net 2024
Land	$ 145,000	$ -	$ 145,000	$ 145,000
Buildings	1,929,311	861,081	1,068,230	786,322
Audio visual equipment	103,170	66,837	36,333	82,935
Computers	1,659	1,659	-	-
	$ 2,179,140	$ 929,577	$ 1,249,563	$ 1,014,257

4. bank indebtedness

The Church has a $150,000 revolving demand loan secured by a general security agreement over all the assets and real property of the Church with a carrying value of $1,215,650. Interest is charged at the bank's prime lending rate plus 2.20%.

5. deferred revenue

The balance represents donations and registrations received for events to be held in future years.

Changes in the deferred revenue are as follows:

	2025	2024
Balance, beginning of year	$ 129,064	$ -
Amounts received during the year	4,440	137,073
Amounts recognized as revenue in the year	(129,064)	(8,009)
Balance, end of year	$ 4,440	$ 129,064

6. long term debt

	2025	2024
Mortgage repayable in monthly instalments of $3,957, including interest at 4.05%, due November 2026, secured by a building and land with a carrying value of $1,183,215	$ 566,752	$ 590,744
Less portion due on demand and within one year	24,999	24,009
	$ 541,753	$ 566,735

The aggregate amount of payments required on the long term debt is as follows:

2026	$ 24,999
2027	$ 541,766

7. notes payable

The Church holds a promisory note from a member of the board of directors in the amount of $300,000 (2024 - $Nil) that bears interest at 6%. This transaction is in the normal course of business and is measured at exchange amount. During the year, no repayments were made and the full amount is due on or before October 5, 2025.

Subsequent to year end, interest totaling $18,000 was paid on this note and the note was renewed for the full principle amount. The note is now due on October 5, 2026.

8. deferred capital contributions

Balance represents unamortized portion of contributions restricted to finance capital purchases.

Changes in the deferred capital contributions are as follows:

	2025	2024
Balance, beginning of year	$ 114,609	$ -
Amounts received during the year invested in capital assets	220,853	130,034
Amounts amortized to income	(45,541)	(15,425)
Balance, end of year	$ 289,921	$ 114,609

9. cloud computing arrangements

The Church applies the simplification method outlined in AcG-20, Customer's Accounting for Cloud Computing Arrangements, for recognizing cloud computing arrangements with suppliers. During the year, the Church expensed $23,016 (2024 - $18,263) related to these arrangements. These expenses are presented under the "Audio, video and media" line on the statement of operations.

10. comparative figures

Certain of the comparative figures have been restated to conform to the presentation adopted for the current year.

11. financial instruments

Risk Management - The significant risks to which the Church is exposed are interest rate risk and liquidity risk. There has been no change to the risk exposures from the prior year.

Interest Rate Risk - The Church's interest-bearing liabilities include long term debt and notes payable.

The Church has fixed interest rates on the long term debt. Consequently, the exposure to fluctuations in future cash flows with respect to this instrument, as a result of changes in market interest rates, is limited.

Liquidity Risk - Liquidity risk is the risk that the Church will not be able to meet its obligations associated with financial liabilities. Cash flow from operations provides a substantial portion of the Church's cash requirements.